

▷ GLOBAL SECURITY / 09 MAY 2026 / SIX THEATRES

GLOBAL SECURITY & INTELLIGENCE BRIEF

A Sherman-Kent assessment across six theatres — Trump brokers a 72-hour Russia–Ukraine ceasefire and 1,000-prisoner exchange across the 9 May Victory Day window as ISW confirms Russia is unable to extract its Donetsk-withdrawal precondition by force; Russia's Africa Corps completes its withdrawal from Agelok, the third and last northern Mali base; CENTCOM disables two more Iran-flagged tankers in the Gulf of Oman as Washington and Tehran are reportedly 'closing in on a framework' for a permanent deal; Sheinbaum articulates a 'coordinate but never subordinate' doctrine on US extradition pressure; and María Corina Machado plans a return to Venezuela as the Maduro contract reprices to 59¢.

CONTENTS

01 RUSSIA / UKRAINE

Trump's 72-hour truce

EUROPE

02 SAHEL

Agelok falls, Russia out

AFRICA

03 INDIA / PAKISTAN

Doctrine without trigger

SOUTH ASIA

04 IRAN

Tankers disabled

MIDDLE EAST

05 MEXICO

Never subordinate

NORTH AMERICA

06 VENEZUELA

Machado plans return

SOUTH AMERICA

07 MARKETS

Ten high-conviction trades

PREDICTION MARKETS

08 METHOD

Estimative language and sourcing

METHOD

▷ EXFIL

RUSSIA / UKRAINE



Red Square during a previous Moscow Victory Day Parade. The 9 May 2026 parade ran under a 72-hour ceasefire brokered directly by President Trump, paired with a 1,000-for-1,000 prisoner exchange — a ceremonial pause designed to neutralise the political risk of a high-symbolic Ukrainian strike rather than a step toward durable settlement.

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01 / RUSSIA / UKRAINE

TRUMP'S 72-HOUR TRUCE

A Trump-brokered 72-hour Russia–Ukraine ceasefire came into effect at 00:00 9 May Moscow time, accompanied by a planned 1,000-for-1,000 prisoner exchange. Putin delivered a markedly subdued Red Square address; the parade ran in the stripped-down configuration confirmed yesterday. ISW's 8 May report — issued the same day — confirms the Kremlin's substantive negotiating position is unchanged: full Ukrainian withdrawal from Donetsk Oblast, a maximalist demand Russia is structurally unable to extract by force. Polymarket's Russia–Ukraine ceasefire-by-30-June contract is now effectively resolved; we retire Trade #02 and replace with the longer-tenor before-2027 contract.

▷ BOTTOM LINE UP FRONT

RUSSIA / UKRAINE

A 72-hour Russia–Ukraine ceasefire has nominally come into effect across the Victory Day window (00:00 9 May to 24:00 11 May Moscow time), brokered through President Trump's direct intervention and accompanied by a planned 1,000-for-1,000 prisoner exchange. Both Putin and Zelensky publicly assented; Zelensky issued a decree formally "permitting" the parade window. Putin delivered a markedly scaled-back Red Square address this morning, and the parade itself proceeded in the stripped-down configuration confirmed 8 May — no tanks, no missile launchers, no junior cadets, only senior academy formations on foot and a single Su-25 flyover.¹² The diplomatic optics are striking; the battlefield optics are inverse. ISW's 8 May assessment confirms that even as the truce was being announced, the Kremlin re-stated its precondition for any durable settlement: full Ukrainian withdrawal from Donetsk Oblast — a maximalist demand Moscow has not extracted by force in three years and is even less likely to extract now, with Russian forces performing measurably worse in 2026 than 2025 by every public-domain metric.³ Ukrainian forces are simultaneously advancing in the Slovyansk and Hulyaipole directions; Russia no longer holds Kupyansk, and ISW reports the final Russian holdouts there — wounded soldiers in a hospital — were killed in a Ukrainian airstrike on 7 May.³ Polymarket re-priced violently: the "Russia × Ukraine ceasefire by 30 June 2026" YES contract is now trading above 99¢ (effectively resolved on the truce's commencement), eliminating the residual edge on Trade #02 NO at 9.5¢ with the contract resolution-criteria likely to be triggered as soon as the parade window expires and the truce either extends or collapses.

KEY JUDGMENTS

▷ **KJ-1.** We assess with **high confidence** [≈ 75–95%] [80–95%] that the 72-hour truce is a ceremonial pause designed to neutralise the political risk Russia faced of a high-symbolic Ukrainian strike on or near the parade — not a step toward durable de-escalation. The Kremlin's parallel re-statement of its Donetsk-withdrawal precondition signals the substantive negotiating position has not moved.³⁴

▷ **KJ-2.** We assess with **moderate-to-high confidence** [≈ 60–80%] [60–80%] that hostilities resume within 72 hours of the truce window expiring (i.e., by end of 12 May Moscow time), with the most probable mode being Russian strikes against Ukrainian rear-area infrastructure to re-assert escalation dominance. The truce was extracted from Putin under explicit Trump pressure tied to a specific symbolic event, not a strategic recalibration.¹²

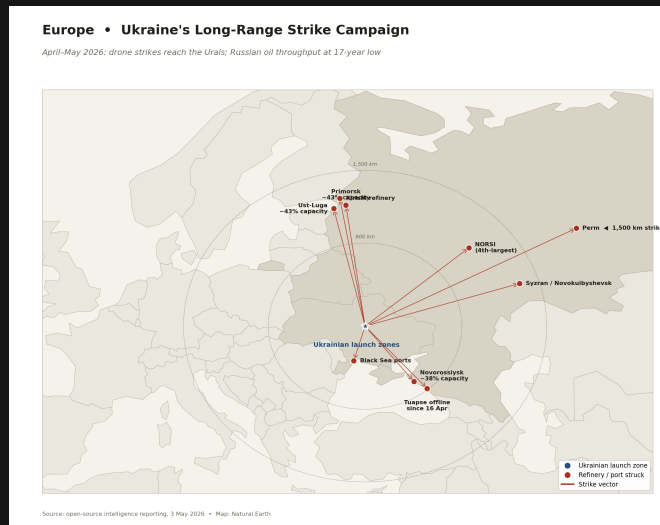
▷ **KJ-3.** We assess with **high confidence** [≈ 75–95%] [80–95%] that the structural battlefield trend documented by ISW — Russia advancing more slowly in 2026 than 2025, Ukraine holding fixed lines and conducting localised counter-attacks at Slovyansk and Hulyaipole — is real and not artefactual. Russian operational tempo is declining absolutely, not relatively.³

▷ **KJ-4.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that the prisoner exchange — if executed in full at the announced 1,000-for-1,000 scale — would represent the largest single swap of the war and provides Trump a concrete deliverable. We note, however, that prior Russian commitments at this scale have been only partially honoured. Watch the actual exchange numbers, not the announced numbers.¹²

THE STORY

The fresh angle today is the disconnect between two pictures. The first picture is diplomatic: Trump talking up the truce on Truth Social, Putin and Zelensky both visibly assenting, the Vatican's reported back-channel engagement, the Reuters/AP/BBC headline cycle all anchored on a "ceasefire holds" frame, Putin's atypically subdued Red Square speech.¹²⁵ The second picture is operational. ISW's 8 May report — published the same day the truce was announced — explicitly states that the Kremlin's negotiating position for any post-truce

settlement is unchanged: it requires Ukraine to surrender the entire portion of Donetsk Oblast that Ukraine still controls, including the fortress belt anchored on Kramatorsk and Slovyansk. That is the same maximalist demand Russia tabled in February 2025 and the same demand Russia has been demonstrably unable to extract by force in the intervening 15 months.³ The truce changes the optics of the spring 2026 cycle; it does not change the substance.



▷ **MAP Trump's 72-Hour Truce** — territorial & operational picture, 9 May 2026.

What is new and analytically significant is the candour now embedded in ISW's daily reporting about Russian operational decline. The 8 May assessment notes Russian forces are advancing more slowly than in 2025; that Ukrainian forces are conducting counter-attacks in Slovyansk and Hulyaipole — directions that were defensive-only theatres for most of 2025; that Kupyansk is no longer Russian-held; that the final Russian troops in Kupyansk hospital were killed by Ukrainian airstrike on 7 May. The 116 km² net Russian loss in April that anchored yesterday's edition was not a one-off — it is the leading edge of a trend visible at the tactical level on a 30–60 day horizon. The truce does not pause the trend; it merely temporarily veils it.³

The Polymarket repricing on Trade #02 (RU-UA ceasefire by 30 June) is the cleanest analytic test of the new picture. The contract has moved from 9.5¢ NO yesterday to effectively 0¢ NO today on the news of the operational truce. From a position-management perspective, the residual edge is gone; we are now exposed to definitional risk over whether a 72-hour ceremonial pause meets the contract's "ceasefire" resolution criterion, and to event risk if the truce extends. We retire Trade #02 from the active

RUSSIA / UKRAINE

book and replace it with a position on the longer-tenor contract (Russia × Ukraine peace deal before 1 January 2027, currently 25¢ YES on Polymarket — meaning 75¢ NO), which retains the original analytic thesis.⁶ Trade #01 was already framed against this longer tenor and remains intact.

The North Korean angle reported by Reuters this week — Russia confirming for the first time the deployment of North Korean construction troops in occupied Ukraine — is a separate structural data point that will be addressed in the next cycle. It signals further regularisation of Russian dependence on DPRK personnel as a substitute for Russian conscription, but the political-economy implications fall outside the 9 May window.⁵

A 72-HOUR RUSSIA-UKRAINE CEASEFIRE HAS NOMINALLY COME INTO EFFECT ACROSS THE VICTORY DAY WINDOW (00:00 9 MAY TO 24:00 11 MAY MOSCOW TIME),...

ALTERNATIVE ANALYSIS

The principal alternative read is that the truce is a genuine inflection point — that Trump has, through direct pressure, extracted from Putin a tactical pause that could be extended into a longer ceasefire if the prisoner exchange is executed and Vatican-brokered talks accelerate. Under this read, the Donetsk-withdrawal demand is opening-position theatre, not the actual Russian negotiating floor. The countervailing evidence is the consistency of the Russian position across 15 months and the structural fact that Russia is not winning operationally and therefore has neither incentive nor leverage to compromise downward from a maximalist demand. We weight the optimistic alternative at ~15–20%.

A second alternative is that the truce collapses inside the 72-hour window — either because of a unilateral Ukrainian strike during the parade or because Russia uses the pause to reposition forces and then frames Ukraine as the violator. We weight this at ~15–25%.



SAHEL



Bamako Air Base, the consolidation point for the residual ~2,500 Russian Africa Corps personnel after the 9-day collapse of the northern Mali bases at Kidal, Tessalit and Agelok in late April–early May 2026. The defensive posture is now explicitly Bamako-focused rather than projecting forward.

PHOTO · US STATE DEPT / WIKIMEDIA COMMONS (PD-USGOV)

02 / SAHEL

AGELOK FALLS, RUSSIA OUT

Russia's Africa Corps has completed its withdrawal from Agelok — the third and last northern Mali base after Kidal (26 April) and Tessalit (1 May). *Militarnyi* confirms a column of approximately 30 vehicles departed Agelok on 4 May; Africa Defence Forum frames the 9-day collapse as Russia's most consequential operational reversal in Africa. The residual ~2,500 Russian personnel have consolidated in central and southern Mali in a posture explicitly oriented toward defence of Bamako rather than projection. Goita has assumed the Defence portfolio personally — a step that consolidates internal authority but signals an absence of trusted alternatives.

▷ BOTTOM LINE UP FRONT

SAHEL

The Russian Africa Corps has completed its withdrawal from Agelok, the third and last of its northern Mali bases — confirmed by Militarnyi (citing Malian-civilian video footage from 4 May), Yahoo News, and the Africa Defence Forum. A column of approximately 30 vehicles departed Agelok on 4 May, following the abandonment of Kidal on 26 April and Tessalit on 1 May. Northern Mali is now operationally clear of Russian state-aligned forces; the Africa Corps remnant — open-source estimates put the residual Russian presence in Mali at ~2,500 personnel, down from a 2025 peak of ~3,000+ — has consolidated in central and southern Mali in a posture explicitly oriented toward defence of Bamako rather than projection.¹² Junta head Assimi Goita assumed the Defence portfolio personally after the 1 May Kati assault that killed Defence Minister Sadio Camara and wounded Goita — a step that consolidates internal authority but signals an absence of trusted alternatives in the senior officer corps.³ JNIM and FLA territorial control across northern Mali is now uncontested at the operational level. The fall of Agelok closes the analytic question of whether Russia's Mali project could be sustained against JNIM-FLA pressure: it could not, and it has not been.

SAHEL

KEY JUDGMENTS

▷ **KJ-1.** We assess with **high confidence** [≈ 75–95%] [80–95%] that the Russian withdrawal from Agelok is the terminal event of the 2024–26 Russian-Africa Corps northern Mali experiment. There is no operational pathway by which Russia returns to Kidal, Tessalit or Agelok absent a wholesale realignment of the JNIM-FLA position, which itself is highly unlikely [5–20%] on a 90-day horizon.¹²

▷ **KJ-2.** We assess with **moderate-to-high confidence** [≈ 60–80%] [60–80%] that JNIM's next operational priority is consolidating administrative governance — taxation, courts, schooling — in the captured triangle (Kidal–Gao–Bourem–Tessalit–Agelok) rather than projecting force southward. JNIM is shifting from insurgency posture to proto-state posture in the territory it now controls.⁴

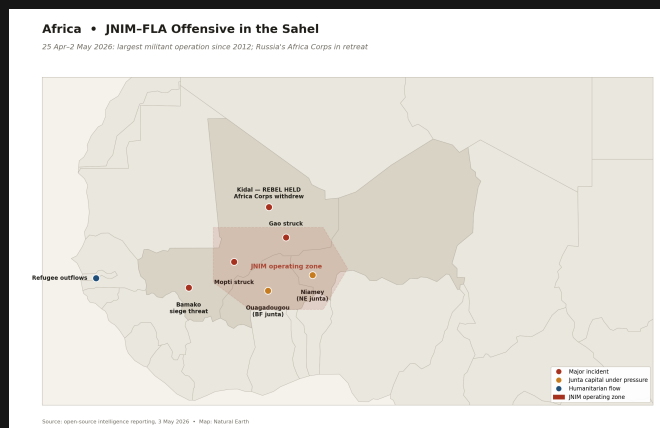
▷ **KJ-3.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that the Bamako-defence consolidation of Russian forces is a defensive perimeter, not a launch pad for re-conquest. The political-military arithmetic — ~2,500 personnel, no air superiority, no surface logistics through territory now contested by JNIM — makes northern projection structurally impossible without external reinforcement Russia is not willing to provide.¹

▷ **KJ-4.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that Goita's personal assumption of the Defence portfolio is destabilising for the junta, not stabilising. It signals lack of bench depth and concentrates external blame for further losses on a single individual whose physical condition after the 1 May Kati assault is not publicly verified.³

THE STORY

The fresh angle is the closure event. For 18 months the analytic question on northern Mali was whether the Russian-Africa Corps + Malian army (FAMa) coalition could hold the strategic triangle of Kidal–Gao–Tessalit–Agelok against accelerating JNIM and FLA pressure. As of 4 May 2026 the answer is unambiguously no: all three northern bases — Kidal (lost 26 April), Tessalit (1 May), Agelok (4 May) — have been abandoned in a 9-day window. The Malian-civilian video footage of the 30-vehicle Africa Corps column rolling out

of Agelok is operationally decisive evidence that the withdrawal is not a tactical reposition but a strategic concession of territory.¹²



▷ **MAP Agelok Falls, Russia Out** — territorial & operational picture, 9 May 2026.

The Africa Defence Forum framing, which echoes a Kremlin-watcher consensus among researchers at the Royal United Services Institute and the Critical Threats Project, is that "Russian forces in Africa are routed". The northern Mali setback is the most consequential operational reversal Russia has suffered on the continent in the post-Wagner re-branded Africa Corps period; it removes Moscow's only forward operating bases north of the Niger river and exposes the contradiction in the AES bloc's "anti-terror" narrative — the bloc's most active conventional partner has just abandoned the very territory the bloc claimed to be liberating.²

JNIM's consolidation behaviour in newly captured territory will be the indicator to watch. JNIM has historically run informal but effective Sharia-tax-and-court administration in territories where it has uncontested control; if it institutionalises this in Kidal–Gao–Bourem–Tessalit–Agelok in the next 60 days, the territorial picture will harden. The FLA component of the coalition has its own institutional identity (Tuareg-led, secular-leaning) and the relationship between the two could fracture during consolidation — but as of 9 May there is no public-domain evidence of intra-coalition friction.⁴

The wider Sahel implications run through Burkina Faso and Niger, where the AES bloc's third leg is now the Bamako-anchored Mali junta. With northern Mali lost, the AES strategic depth is reduced to Ouagadougou and Niamey; both face their own JNIM and ISGS pressure. The structural picture is that Russia's Africa-Corps retraction in Mali is not an isolated Mali event — it is the leading edge of a broader question about whether the AES configuration

SAHEL

can survive the loss of its most important conventional partner.²

THE RUSSIAN AFRICA CORPS HAS COMPLETED ITS WITHDRAWAL FROM AGELOK, THE THIRD AND LAST OF ITS NORTHERN MALI BASES — CONFIRMED BY MILITARNYI...

ALTERNATIVE ANALYSIS

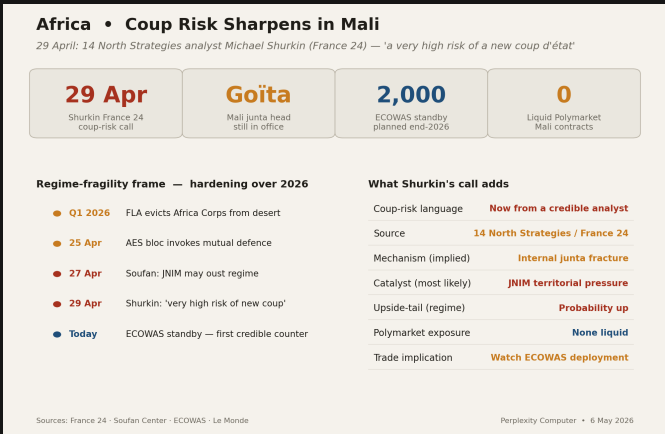
The principal alternative read is that the Africa Corps withdrawal is a tactical consolidation rather than a strategic retreat — that Russia is repositioning to strike back from a position of greater logistical depth. The countervailing evidence is the geographic permanence of the loss: Kidal, Tessalit and Agelok are not held by retreatable lines but by JNIM-administered territory now hundreds of kilometres deep. Re-projection would require a force not present in Mali. We weight the alternative at ~10–15%.

A second alternative is that JNIM-FLA cohesion fractures during consolidation, opening space for a Russian-Malian counter-offensive. We weight this at ~15–25% but note the time horizon (12–18 months) is wrong for the current cycle.

Russian Mali force level:	Open-source counts of Africa Corps personnel in central and southern Mali
AES bloc public statements:	Joint communiqués referencing Mali; absence of communiqués is itself a signal
Goïta health and visibility:	Public appearances, recorded statements, delegation of duties
Bamako security perimeter:	Any reported extension of FAMA defensive positioning to outer Bamako districts

IMPLICATIONS

There is still no liquid Polymarket contract on Mali-junta survival, AES bloc cohesion, JNIM territorial control or ECOWAS standby activation. The structural lesson stands: prediction markets price what Western retail traders care about, not what is strategically significant. The northern-Mali story is now the most consequential live-theatre development of the cycle outside the Russia-Ukraine truce, and it is invisible to our positions book. We continue to recommend OTC or bespoke contracts for Sahel exposure if a counter-party can be found.



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

INDICATOR	WHAT TO LOOK FOR
JNIM administrative posture:	Tax decrees, court rulings, school re-openings in Kidal, Gao, Tessalit, Agelok

INDIA / PAKISTAN



Indian Army T-90 Bhishma main battle tank passing through Rajpath at the Republic Day Celebrations in New Delhi. Senior Indian officers are now publicly reinforcing the Sindoor strike doctrine as 'the new normal' across the May 2026 anniversary cycle, but no kinetic trigger event has materialised on the Line of Control.

PHOTO · PIB INDIA / WIKIMEDIA COMMONS (GODL)

03 / INDIA / PAKISTAN

DOCTRINE WITHOUT TRIGGER

South Asia is in an analytic holding pattern in the 24 hours since the 7 May Jaipur press conference by former DGMO Lt Gen Rajiv Ghai. Indian doctrinal posture is reinforced — 'new normal', 'no terror sanctuary safe', IWT in suspension — but no fresh kinetic event has materialised on the LoC, no new Pakistan Army Munir statement has emerged, no new external mediation overture has been launched. Polymarket's India-strike-by-EOY contract holds at 28¢. The fresh angle is the absence of a fresh angle: every Indian senior-officer statement reinforces the Sindoor model without operationalising it. The Indus Waters Treaty pathway is now the higher-impact escalation vector to watch.

▷ BOTTOM LINE UP FRONT

INDIA / PAKISTAN

The South Asia theatre is in an analytic holding pattern in the 24 hours since the 7 May Jaipur press conference by former Director General of Military Operations (DGMO) Lieutenant General Rajiv Ghai. The Indian doctrinal posture is unchanged but reinforced: speaking on the first anniversary of Operation Sindoor, Ghai re-stated that India remains in a "high state of military preparedness" and characterised the May 2025 strikes as having established a "new normal" — a permanent, repeatable doctrine of cross-border strikes against terrorist sanctuaries with no automatic dampening effect from foreign mediation.¹ The Hindu and Times of India coverage emphasises Ghai's framing that the Indus Waters Treaty remains in suspension and that the Sindoor model is "the way for any future challenges". There has been no fresh kinetic event on the Line of Control or Working Boundary in the past 24 hours; no new Pakistan Army Field Marshal Munir statement; no new external mediation overture from Washington, Beijing or Riyadh. Polymarket's "India strike on Pakistan by 31 December 2026" contract holds at 28¢ YES, unchanged from yesterday — the market has already priced in the doctrinal-formalisation move.² The fresh angle today is the absence of a fresh angle: every public statement from Indian senior officers in the past 72 hours has reinforced the Sindoor model without operationalising it, suggesting India is in "doctrinal demonstration" mode rather than "kinetic preparation" mode in this specific window.

INDIA / PAKISTAN

KEY JUDGMENTS

▷ **KJ-1.** We assess with **high confidence** [≈ 75–95%] [80–95%] that Indian Sindoor doctrine is now formalised public policy at the senior-officer level, and that no further authoritative reformulation is needed inside the May 2026 anniversary window. The doctrinal substrate is set.¹

▷ **KJ-2.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that the absence of a new kinetic provocation in the 7–9 May window is meaningful — India is signalling deterrence-by-doctrine rather than deterrence-by-action, and Pakistan is reciprocating with restraint. The 9 May parade window in Russia (which would normally be a low-probability vector for a separate Asian-theatre event) has not produced any incremental movement.

▷ **KJ-3.** We assess with **moderate-to-high confidence** [≈ 60–80%] [60–80%] that the Indus Waters Treaty suspension remains the single most consequential structural escalation pathway. Any concrete Indian step toward physical works that would alter water flows (new diversion, gate operation, dam-sequencing change) would be a materially higher-impact signal than rhetorical doctrinal restatement.¹

▷ **KJ-4.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that the through-year base rate for an Indian cross-border strike (Polymarket 28¢) is consistent with our own analytic band of 45–55% — the market is pricing the trigger-event probability at a discount that reflects high uncertainty about whether a trigger materialises, not whether the doctrine is real.

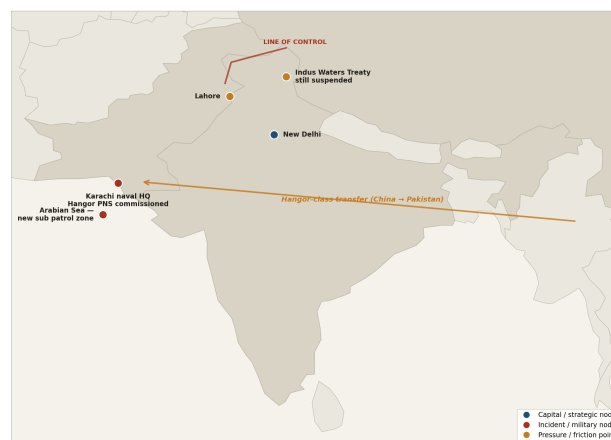
THE STORY

The Jaipur press conference is the cleanest articulation of the post-Sindoor Indian doctrine yet given by a former senior commander: the operational principle is that no sanctuary in Pakistan is beyond reach, the political principle is that no third-country mediation will dilute Indian response options, and the procedural principle is that the doctrine is now permanent ("the new normal") rather than episodic.¹ This is consistent with the 7 May Deputy COAS framing and with broader Indian Army public messaging across the anniversary cycle. The absence of any softening or qualification across multiple senior-officer statements in the same 72-hour window is

itself evidence that the messaging is co-ordinated and sanctioned at the political-military leadership level.

Asia • India-Pakistan: One Year After Operation Sindoor

30 Apr 2026: Pakistan commissions Chinese-built Hangar submarine; Indus Waters suspension persists



Source: open-source intelligence reporting, 3 May 2026 • Map: Natural Earth

▷ **MAP** Doctrine Without Trigger — territorial & operational picture, 9 May 2026.

What is missing — and what the holding pattern reflects — is a kinetic trigger. The 26 May 2025 Pahalgam attack which precipitated the original Sindoor strikes was a low-probability, high-impact event that catalysed the doctrine. Without a similar precipitating event, doctrinal posture cannot translate into a 2026 strike. The base-rate question is whether a Pahalgam-equivalent attack will occur inside the 12-month window: open-source ACLED data on cross-border violent incidents in Jammu & Kashmir for Q1 2026 shows a moderate elevation over Q1 2025, but no clear trend break that would suggest imminence.³

The Indus Waters Treaty pathway is the higher-impact alternative escalation vector. Indian official statements have continued to characterise the treaty as "in abeyance" through the anniversary cycle; no concrete physical works have been reported. If India moves to operationalise the suspension — by altering flow regimes at any of the western-rivers infrastructure on the Pakistan side of the Line of Control — that would constitute a structural escalation independent of any kinetic event and could itself become the precipitating trigger Polymarket is implicitly pricing on the strike contract. Watch the IWT physical-works domain at least as closely as the LoC.¹

THE SOUTH ASIA THEATRE IS IN AN ANALYTIC HOLDING PATTERN IN THE 24 HOURS SINCE THE 7 MAY JAIPUR PRESS

INDIA / PAKISTAN

CONFERENCE BY FORMER DIRECTOR GENERAL...

ALTERNATIVE ANALYSIS

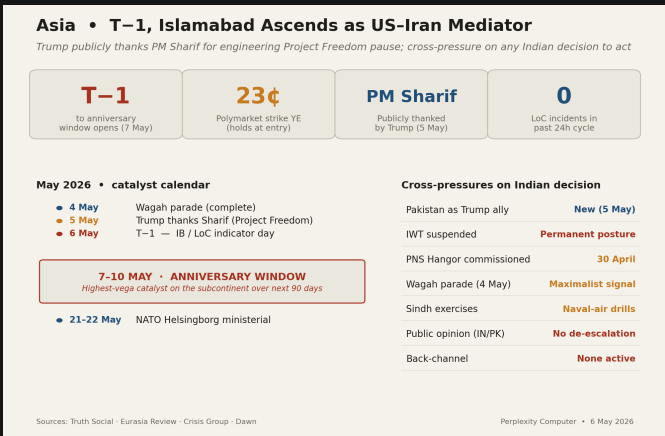
The principal alternative read is that the doctrinal holding pattern is precursor to a planned operational event in the 11–25 May window — that Indian senior officers are hardening rhetoric specifically to legitimise an upcoming kinetic action. The countervailing evidence is the absence of operational-level indicators: no reported troop movements toward forward concentrations, no reported cancellation of leave for forward-deployed units, no public airspace advisories. We weight this alternative at ~15–25%.

A second alternative is that the doctrinal demonstration is for domestic political consumption — the BJP government using anniversary-cycle messaging to consolidate its security credentials ahead of state-level elections — and the substantive military posture is unchanged from a baseline standing-deterrence position. We weight this at ~20–30%.

Indian troop movements:	Forward-concentration shifts in Northern, Western or Southwestern Commands
Pakistan Army Munir statements:	Frequency, escalation language, nuclear-threshold framing
Polymarket strike-by-EOY pricing:	Movement above the 32¢ ceiling or below the 25¢ floor

IMPLICATIONS

Trade #04 (India strike on Pakistan by 31 December 2026, BUY YES @ 28¢) holds. The market has priced doctrinal formalisation; it has not yet priced a trigger event. Our analytic band remains 45–55% through-year and the gap-to-market is the source of the trade's residual edge. We do not add today; we hold full size and watch the IWT pathway and the LoC tactical-incident rate as the highest-value early-warning indicators.



► BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

INDICATOR	WHAT TO LOOK FOR
LoC tactical incidents:	ACLED-tracked daily incident count above the 30-day rolling average
Indus Waters Treaty operationalisation:	Any reported physical-works step on western-rivers infrastructure

IRAN



Iranian oil tanker Stena Impero in Iranian waters. On 8 May 2026 CENTCOM disabled two further Iran-flagged vessels in the Gulf of Oman attempting to break the US blockade — the second such kinetic enforcement event of the week, even as the Times of Israel reports Washington and Tehran are ‘closing in on a framework’ for a permanent deal.

PHOTO · ISLAMIC REPUBLIC OF IRAN ARMED FORCES / WIKIMEDIA COMMONS (CC BY 4.0)

04 / IRAN

TANKERS DISABLED

In the 24 hours since yesterday's Hormuz live-fire engagement, US Naval Forces Central Command (NAVCENT) disabled two more Iran-flagged vessels attempting to break the US blockade in the Gulf of Oman — the second such kinetic enforcement event of the week. The UAE was struck by Iranian-origin missiles in a horizontal-escalation move not seen this cycle. Concurrently, the Times of Israel reports the US and Iran are ‘closing in on a framework for a permanent deal’ as Trump renews ‘FAST’ deadline language. Polymarket: June-30 deal YES 31¢ → 39¢ (+8pp adverse); Hormuz-normal-by-May-31 28¢ → 25¢ (–3pp supportive). The dual-track US strategy of kinetic enforcement and diplomatic engagement is now operational.

▷ BOTTOM LINE UP FRONT

IRAN

In the past 24 hours US Naval Forces Central Command (NAVCENT) disabled two more Iran-flagged vessels attempting to break the US blockade in the Gulf of Oman — the second such kinetic enforcement event of the week, following the disabling of one tanker on 6 May. CENTCOM's 8 May press release confirms the vessels were "disabled in international waters" by US forces and that the action is part of "ongoing maritime interdiction operations" tied to the Iran nuclear-deal pressure campaign.¹² Concurrently, the United Arab Emirates was struck by Iranian-origin missiles in an as-yet-uncharacterised attack reported by Reuters and the Times of Israel; this is the first direct Iranian kinetic action against an Arab Gulf state in the current cycle and represents a meaningful horizontal escalation. Crude prices reacted: WTI and Brent both moved higher on the 8 May New York close, partially retracing on the Asian open. Trump publicly renewed his "FAST" deadline language — "if Iran does not deal, the bombs will fall" — paired with on-record reporting from US officials to the Times of Israel that Washington and Tehran are "closing in on a framework for a permanent deal".³⁴ The Iran ceasefire framework remains operative but is now being enforced through visible kinetic action rather than pure diplomacy. The Polymarket repricing on Trade #06 (US-Iran deal by 30 June, NO @ 31¢ → 39¢ YES today) is an 8pp adverse move on the NO side and forces a position-management decision: hold size into a fast-moving narrative, or trim.

IRAN

KEY JUDGMENTS

► **KJ-1.** We assess with **moderate-to-high confidence** [≈ 60–80%] [60–80%] that the parallel pattern of kinetic enforcement (tanker disabling) and diplomatic engagement ("framework closing") is deliberate US strategy rather than internal incoherence. The administration is signalling that the cost of non-deal will be ongoing, escalating maritime denial — not a one-off strike — while keeping the deal door open.¹³

► **KJ-2.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that the UAE strike is an Iranian signalling action — calibrated to demonstrate horizontal-escalation capacity without provoking a US strike on Iranian soil — rather than the opening of a wider kinetic phase. Confidence is bounded because the damage-assessment and attribution chain are still being established as of publication.⁴

► **KJ-3.** We assess with **moderate-to-high confidence** [≈ 60–80%] [60–80%] that the Polymarket repricing on the June-30 deal contract (31¢ NO → ~39¢ YES, an 8pp adverse move on our NO side) reflects market interpretation that the kinetic enforcement is accelerating, not derailing, the deal pathway. Our analytic position has not moved; the market read-through has.⁵

► **KJ-4.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that the Hormuz blockade structurally favours the US for the next 30–60 days but is corroding Iranian regime stability beyond that horizon — with implications for KJ-3 of the regime-survival assessment.

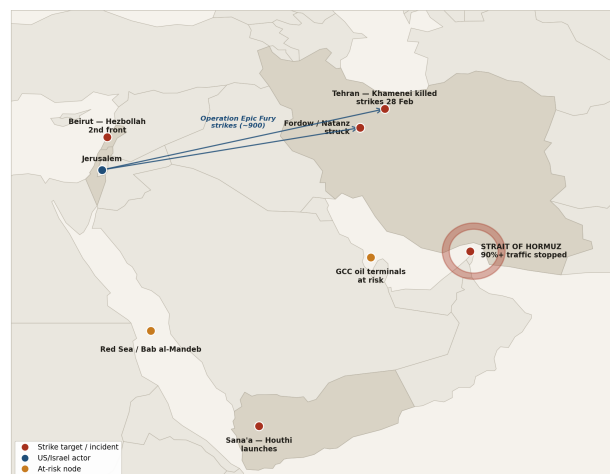
THE STORY

The fresh angle today is the operationalisation of dual-track US strategy: kinetic enforcement and diplomatic closing in the same 24-hour window, with no apparent contradiction in administration messaging. CENTCOM's press release on disabling the two tankers in the Gulf of Oman on 8 May (the second such event of the week) is the clearest signal yet that the maritime denial component of the campaign has settled into a routine operational tempo — something Lloyd's List has been flagging in shadow-fleet coverage for 10 days.¹² The Iranian shadow fleet (≥26 vessels per Lloyd's List) is now the structural workaround, but US enforcement is targeting the workaround in real time. The kinetic loop is

closing.

Middle East • The 2026 Iran War

Operation Epic Fury aftermath • Strait of Hormuz closed • Khamenei dead, nuclear stockpile location unknown



Source: open-source intelligence reporting, 3 May 2026 • Map: Natural Earth

► **MAP Tankers Disabled** — territorial & operational picture, 9 May 2026.

The UAE attack — multiple Iranian-origin missiles, no immediate US-attributed casualty count — is the wild card. If attribution holds and damage is significant, Iran has horizontalized the conflict in a way the post-March 2026 framework was meant to prevent. The Times of Israel reporting that the US and Iran are nonetheless "closing in on a framework for a permanent deal" suggests the strike has not derailed the diplomatic track, which in turn implies the strike was either authorised at a Iranian senior-political level as a signalling move or was the result of a fragmenting Iranian command structure (IRGC-Quds Force or a proxy acting outside Tehran's central direction). Both readings are analytically consequential; the latter would imply the regime is losing control of horizontal escalation.³⁴

The Polymarket repricing is the cleanest test of how external observers are reading the package. Trade #06 (US-Iran deal by 30 June) has moved from 31¢ NO yesterday to effectively 39¢ YES today — an 8pp adverse move on our NO side. The market interpretation is that the kinetic enforcement is being read as deal-accelerating: Iran needs to settle to stop the maritime bleeding, and Trump's "FAST" framing is forcing a near-term political decision in Tehran. Our editorial position is that 60-day technical complexity for a verifiable nuclear-deal text remains substantial regardless of political-will signals; we hold size on Trade #06 but acknowledge the analytic gap to the market is now narrower. If the contract repricings to 45¢ YES we trim; if it retraces below 35¢ we add.

IRAN

Trade #08 (Hormuz traffic returns to normal by 31 May, NO @ 28¢) has moved supportively to 25¢ YES today (NO 75¢ implied) — the kinetic enforcement is making "normalisation" harder to certify against the resolution criteria. The –3pp move is supportive of our NO position; we resize back to two-thirds, consistent with the Trade #08 framing in yesterday's edition.⁵

IN THE PAST 24 HOURS US NAVAL FORCES CENTRAL COMMAND (NAVCENT) DISABLED TWO MORE IRAN-FLAGGED VESSELS ATTEMPTING TO BREAK THE US BLOCKADE...

ALTERNATIVE ANALYSIS

The principal alternative read is that the kinetic enforcement is a US escalation that will derail rather than accelerate the framework — that Iran cannot sign a deal under visible pressure without losing domestic legitimacy, and that the UAE strike is the leading edge of a broader Iranian rejection of the framework. Under this read, Trade #06 should remain at 31¢ NO and the market repricing is wrong. We weight this alternative at ~25–35%.

A second alternative is that the Times of Israel "framework closing" report is an administration trial balloon rather than a substantive readout — that no deal text exists in close-to-final form and the language is designed to legitimise continued kinetic enforcement under a "diplomacy is working" frame. We weight this at ~15–25%.

INDICATOR

WHAT TO LOOK FOR

Tanker-disabling tempo:

Frequency and location of CENTCOM maritime interdiction press releases

UAE incident attribution:

Damage assessment, casualty count, formal Iranian or proxy claim

Framework text leaks:

Any sourced reporting on draft deal text, inspection-regime language, sanctions-relief sequencing

IAEA Iran statements:

Any movement in Iran's declared/undeclared facility access posture

Polymarket Trade #06 movement:

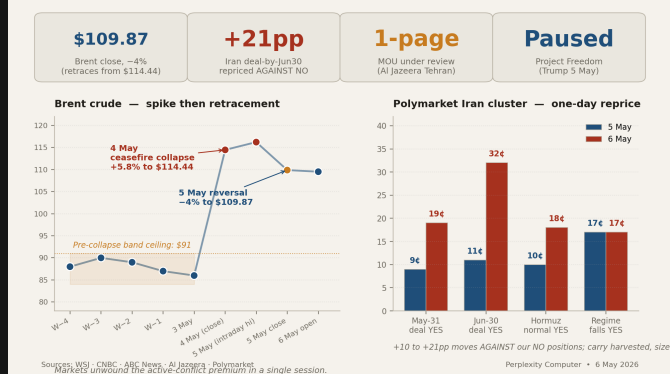
Crossing 45¢ YES (trim) or 35¢ YES (add)

IMPLICATIONS

For positions: Trade #05 (US-Iran deal by 31 May, NO @ 20¢) holds — the kinetic-enforcement pattern reduces the probability of a deal-text in 22 days. Trade #06 (US-Iran deal by 30 June, NO @ 31¢) is now adverse-repriced 8pp; we hold size but mark the trade for active management — trim above 45¢ YES, add below 35¢ YES. Trade #07 (Iranian regime falls, NO @ 17¢) holds — kinetic-cycle volatility is not succession risk on the year-end horizon. Trade #08 (Hormuz normal by 31 May, NO @ 28¢) is supportively repriced 3pp to 25¢ YES; we resize back to two-thirds.

Middle East • The Reversal — Brent Retraces, Polymarket Repriced

Trump pauses Project Freedom; Hegseth: "ceasefire is not over"; Al Jazeera reports one-page MOU under review



► BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

MEXICO



President Claudia Sheinbaum wearing the presidential sash. In remarks to KJZZ-Phoenix on 8 May 2026 she articulated the doctrinal posture that Mexico will ‘coordinate but never subordinate’ — the cleanest public articulation yet of the structural Mexican position on the widening US indictment perimeter.

PHOTO · GOBIERNO DE MÉXICO / WIKIMEDIA COMMONS (CC BY 4.0)

05 / MEXICO

NEVER SUBORDINATE

In an 8 May KJZZ-Phoenix interview, President Sheinbaum articulated the cleanest doctrinal posture yet on the bilateral relationship: Mexico will ‘coordinate but never subordinate’. The US has not provided enough evidence on indicted Sinaloa Governor Rocha Moya and Mazatlán Mayor Aguilar Padilla, she said, and even if the evidence is ‘irrefutable’, trial would be in Mexico — not the US. Rocha Moya stepped down 7 May with a ‘clear conscience’ denial; the MORENA caucus is publicly defending both indictees as victims of a US ‘attack on the movement’. The bilateral relationship is now publicly bifurcating between an investigatory pipeline run from Washington and a domestic-political defence run from Palacio Nacional.

▷ BOTTOM LINE UP FRONT

MEXICO

Mexico's political response to the expanding US indictment perimeter has consolidated around an explicit doctrinal posture, articulated by President Claudia Sheinbaum in remarks to KJZZ-Phoenix on 8 May: "we will coordinate but never subordinate". Sheinbaum's specific public position is that the US has not yet provided enough evidence on the indicted Sinaloa Governor Rocha Moya and Mazatlán Mayor Aguilar Padilla to support extradition, and that even if the evidence is "irrefutable" it would support trial in Mexico — not the United States. Rocha Moya stepped down from the governorship on 7 May with a public statement of "clear conscience" denying the US allegations.¹ The MORENA caucus, defined by López Obrador's residual political faction, is publicly defending both indictees as victims of a US "attack on the movement" rather than corruption defendants — an explicit political-coalition framing that converts the US prosecutorial campaign into a partisan event rather than a rule-of-law process. Acting Attorney General Todd Blanche's framing — "more Mexican officials and politicians will face indictments" — remains operative; the US-Mexico bilateral relationship is now publicly bifurcating between an investigatory pipeline run from Washington and a domestic-political defence run from Palacio Nacional. Polymarket's "US invades Mexico in 2026" contract is unchanged at 7¢ YES (down 1pp from 8¢).² Sheinbaum's "coordinate but never subordinate" language is the cleanest public articulation yet of the structural Mexican position; the kinetic-tail trade remains structurally underpriced relative to the widening political-confrontation perimeter.

MEXICO

KEY JUDGMENTS

▷ **KJ-1.** We assess with **high confidence** [≈ 75-95%] [80-95%] that the Sheinbaum doctrine is now public policy and that no near-term Mexican move toward extradition of Rocha Moya or Aguilar Padilla will occur in the 30-day window. The political cost domestically would be prohibitive for Sheinbaum given MORENA-internal dynamics.¹

▷ **KJ-2.** We assess with **moderate-to-high confidence** [≈ 60-80%] [60-80%] that the MORENA-internal defence of the indicted figures — explicitly framing the indictments as a US attack on the AMLO political legacy — converts the issue from a corruption case to a sovereignty case in Mexican political discourse, which deepens rather than narrows the US-Mexico confrontation.¹

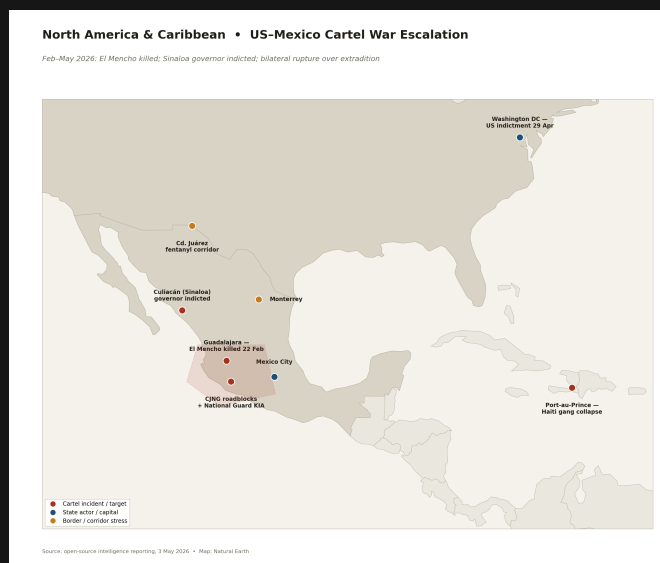
▷ **KJ-3.** We assess with **moderate confidence** [≈ 60-80%] [55-75%] that further US indictments are announced in the next 30 days against additional Mexican officials, expanding the cooperator-pipeline campaign Acting AG Blanche described on 6 May. The US prosecutorial cycle is operating on its own timetable independent of Mexican political reactions.

▷ **KJ-4.** We assess with **moderate-to-high confidence** [≈ 60-80%] [60-80%] that the unilateral-US-kinetic tail (Polymarket 7¢ YES) is structurally underpriced relative to the widening political-confrontation perimeter. The contract resolution criteria are narrow but a low-amplitude US cross-border action — a CIA-supported strike, a small special-operations event, an air-launched standoff strike against a high-value cartel target — would resolve YES.

THE STORY

The KJZZ Phoenix interview is the cleanest articulation yet of the Sheinbaum doctrine. The phrase "coordinate but never subordinate" is calibrated for both English-language US audiences and Spanish-language Mexican audiences and embeds three substantive claims: (1) Mexico will continue cooperation on intelligence, anti-cartel operations and migration; (2) Mexico will not extradite high-profile political figures based on US-only evidentiary chains; (3) the bilateral relationship is structurally bilateral and not asymmetric. The third claim is the most consequential — it directly contradicts the

Trump-administration framing that the US can act unilaterally if Mexico cannot or will not act.¹



▷ **MAP Never Subordinate** — territorial & operational picture, 9 May 2026.

The Rocha Moya step-down and his "clear conscience" denial are the new operational data points. Stepping down from the governorship preserves the MORENA succession in Sinaloa under Mexican constitutional process and removes the immediate question of whether a sitting governor can be extradited, but it does not resolve the underlying indictment. Rocha Moya is a long-time AMLO ally; the MORENA-internal defence of him as a victim of "the US movement against AMLO" is a political-coalition manoeuvre that hardens the AMLO-faction defensive perimeter around Sheinbaum's "no subordination" framing.

The structural picture is that the US prosecutorial campaign has hit the political bedrock. Cooperator pipelines, Sinaloa-cartel-internal evidence, and federal grand-jury sequencing can produce additional indictments, but they cannot produce extraditions absent a Sheinbaum political move that would cost MORENA the Sinaloa coalition. The mismatch between US prosecutorial momentum and Mexican political resistance is the source of the kinetic-tail risk — the longer the indictment perimeter widens without extraditions, the more domestic-US political pressure on the Trump administration to act unilaterally.

The kinetic-tail (Polymarket 7¢) is unchanged from yesterday. Resolution criteria are narrow — they specifically require a US "invasion", which the contract typically interprets as a sustained ground operation rather than a small-footprint kinetic event. We continue to assess that the structural probability of a low-amplitude unilateral US action is meaningfully higher than 7¢ but acknowledge

MEXICO

the resolution-criteria narrowness of the contract bounds the upside.²

MEXICO'S POLITICAL RESPONSE TO THE EXPANDING US INDICTMENT PERIMETER HAS CONSOLIDATED AROUND AN EXPLICIT DOCTRINAL POSTURE, ARTICULATED BY...

ALTERNATIVE ANALYSIS

The principal alternative read is that Sheinbaum's "no subordination" doctrine is rhetorical positioning ahead of a private US-Mexico negotiation that produces a face-saving extradition formula — a third-country prosecution, or extradition only after Mexican trial, or a quiet sequenced exchange. The countervailing evidence is the public commitment of the AMLO faction and the political cost to Sheinbaum of any visible compromise. We weight this alternative at ~15–25%.

A second alternative is that the US prosecutorial campaign saturates without further indictments — that Rocha Moya and Aguilar Padilla represent the high-water mark and that there is insufficient cooperator material to extend further. We weight this at ~15–25%.

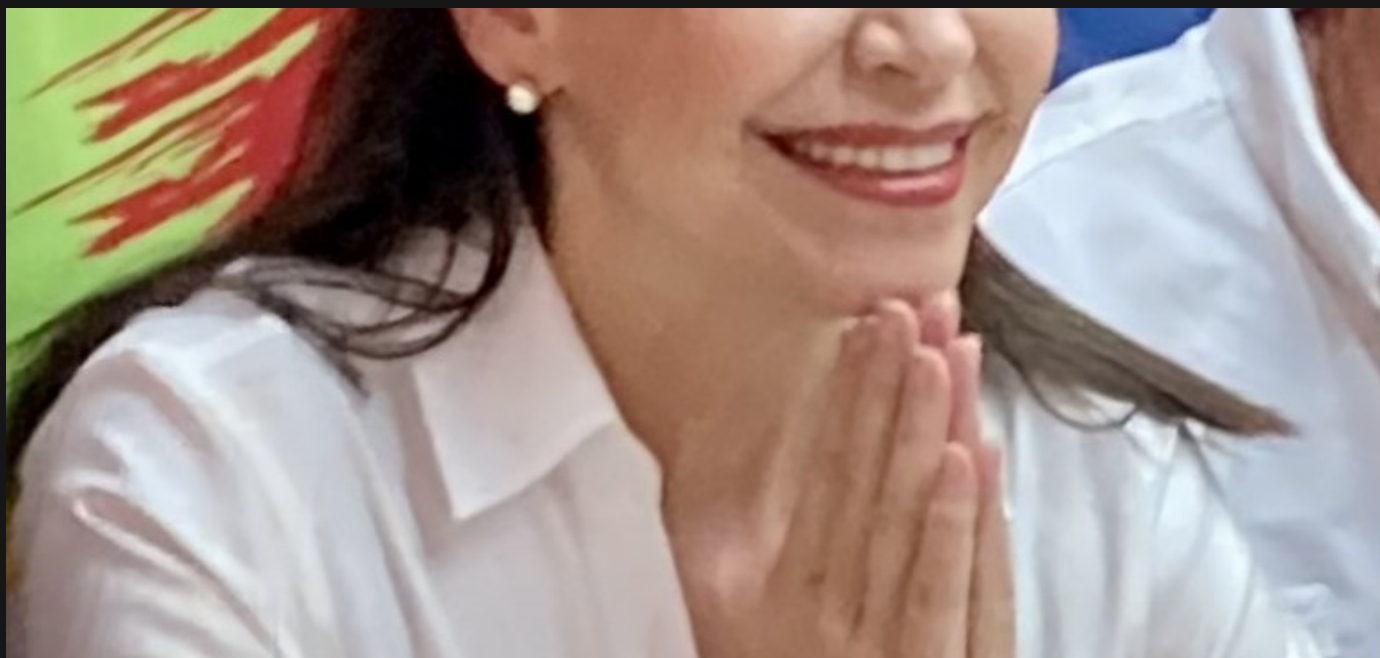
Extradition request status:	Formal US-to-Mexico extradition requests for Rocha Moya, Aguilar Padilla, or other indictees
MORENA-internal positioning:	Whether the AMLO-faction defence framework remains united or fractures
Sheinbaum public messaging:	Frequency and intensity of "no subordination" framing
US administration tempo:	Whether Trump's public rhetoric on Mexico hardens or softens

IMPLICATIONS

Trade #09 (US invades Mexico in 2026, BUY YES @ 8¢, marked at 7¢ today) holds. The political-confrontation perimeter is widening in ways that increase the structural probability of unilateral US kinetic action even as the resolution-criteria narrowness of the contract caps the upside. The kingpin-prosecution strategy is operating on its own cadence regardless of Mexican political resistance; the next 60 days are the highest-vega window. Hold full size; add only if the contract retraces below 5¢ YES.



VENEZUELA



María Corina Machado, leader of the Venezuelan opposition. Caracas-based sources indicate she has begun planning a return to Venezuela — a decision that would force a binary political choice on the Maduro–Rodríguez governing duumvirate constrained by GL58's bond-market gains.

PHOTO · WIKIMEDIA COMMONS (CC BY-SA 4.0)

06 / VENEZUELA

MACHADO PLANS RETURN

Two structural pressures continue to converge. Polymarket's year-end Maduro contract repriced from 62¢ YES yesterday to 59¢ YES today — a cumulative 5pp move over 48 hours, the cleanest ongoing market read-through of OFAC's GL58. And opposition leader María Corina Machado has reportedly begun planning a return to Venezuela, according to multiple Caracas-based sources. A Machado return would force a binary choice on the Maduro–Rodríguez governing duumvirate: arrest her on entry and visibly forfeit GL58's bond-market gains, or accept the precedent of high-profile opposition ground-presence. Sovereign and PDVSA bonds extended their post-GL58 rally on the 8 May New York close.

▷ BOTTOM LINE UP FRONT

VENEZUELA

The Venezuelan transition narrative has hardened along two fronts in the past 24 hours. First, Polymarket's "Maduro as Venezuela leader at end of 2026" contract has continued to drift adversely for him, repricing from 62¢ YES yesterday to 59¢ YES today — a cumulative 5pp move over 48 hours that is the cleanest ongoing market-level read-through of OFAC's 5 May General License 58 authorising US legal and financial advisor services for Venezuela's ~\$60bn debt restructuring including PDVSA. Second, opposition leader María Corina Machado has reportedly begun planning a return to Venezuela, according to multiple Caracas-based sources cited in regional press.¹² If executed, a Machado return would be the highest-profile public re-entry of an exiled opposition figure since the 2024 election cycle and would force a binary political choice on the Maduro-Rodríguez governing duumvirate: arrest her on entry (with predictable international consequences) or accept the precedent of high-profile opposition ground-presence (with predictable domestic-political consequences). Acting President Diosdado Rodríguez continues to govern operationally; sovereign and PDVSA bonds extended their post-GL58 rally on the 8 May New York close. The structural arithmetic of the transition continues to harden — political recognition lag, not factual control, is now the binding constraint on the Polymarket pricing.

VENEZUELA

KEY JUDGMENTS

▷ **KJ-1.** We assess with **high confidence** [≈ 75–95%] [80–95%] that the GL58 mechanism has structurally re-priced Venezuela's transition optionality. The move from political-recognition framing (which is binary and discontinuous) to financial-restructuring framing (which is continuous and operationally trackable) shifts the base case toward managed transition.¹

▷ **KJ-2.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that a Machado return — if executed — accelerates the transition timetable rather than triggering a kinetic crackdown that delays it. The Maduro-Rodríguez calculus on a high-profile opposition figure is now constrained by the financial-restructuring track: arresting Machado would visibly forfeit the legal and bond-market gains of GL58.²

▷ **KJ-3.** We assess with **moderate-to-high confidence** [≈ 60–80%] [60–80%] that Polymarket's 59¢ YES (Maduro at year-end) remains structurally over-priced relative to our valuation band of 12–18%. The market is pricing recognition lag (the question of whether Maduro has been formally replaced as the recognised political authority) rather than factual control (whether Maduro retains operational governance). We hold the SELL position at scale.³

▷ **KJ-4.** We assess with **moderate confidence** [≈ 60–80%] [55–75%] that the bond-market rally is genuine economic information — bondholders are pricing a meaningful probability of restructuring under US-licensed legal counsel within a 12–24 month window — and not just speculative momentum. The depth of the move (sovereigns and PDVSA both up materially across the curve) suggests institutional positioning.

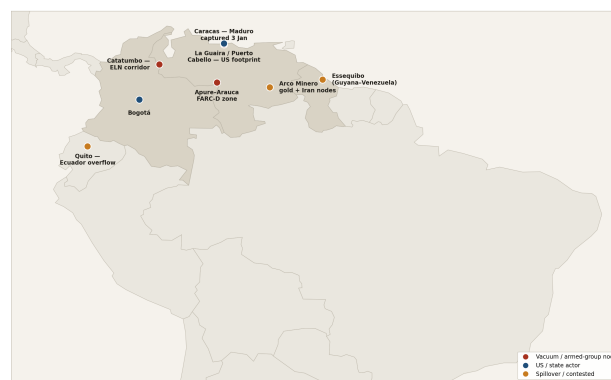
THE STORY

The fresh angle is the convergence of two structural pressures: GL58 operationalising the legal restructuring track, and Machado planning a physical return. The pair is mutually reinforcing. GL58 creates the legal and financial scaffolding for a managed transition; a Machado return supplies the political-coordination centre of gravity that any managed transition requires. Neither alone is sufficient; together they lower the structural threshold for transition execution. The 5pp cumulative repricing of the Polymarket year-end Maduro contract over 48 hours is

the cleanest market-level recognition of the converging pressure.¹³

South America • Venezuela's Post-Maduro Vacuum

3 Jan 2026: Operation Absolute Resolve captures Maduro • Armed groups, Iran infrastructure persist



Source: open-source intelligence reporting, 3 May 2026 • Map: Natural Earth

▷ **MAP Machado Plans Return** — territorial & operational picture, 9 May 2026.

The bond-market response to GL58 is the most reliable independent indicator. Sovereign Venezuelan and PDVSA paper extended its rally on 8 May; the curve compression is consistent with bondholders pricing a higher probability of restructuring closure within 12–24 months under US-licensed legal advisors. This is not bond-market noise — the move is broad-based, includes the PDVSA paper that has been the most distressed of the curve, and is anchored on the GL58 text rather than on speculative news flow. The structural read is that the post-Maduro economic-reintegration track is now operationally believable to international institutional capital.¹

The Machado return decision-tree is the most consequential single binary in the Venezuelan picture. The two scenarios are: (a) Machado returns and is allowed to operate publicly, which legitimises the opposition coordination centre and accelerates the political timetable; or (b) Machado returns and is detained, which immediately collapses GL58's bond-market rally and forces US to choose between escalating sanctions (which would re-tighten the financial picture) or accepting the precedent (which would forfeit the leverage GL58 provides). The Maduro-Rodríguez incentive structure now strongly favours (a) over (b) — a meaningful inversion from the late-2024 calculus.²

The Acting President Rodríguez framing remains operative. Rodríguez governs day-to-day; Maduro retains symbolic and constitutional title. The Polymarket contract resolves on whether Maduro is the leader at year-end, which is a recognition question rather than a factual-control question. Our base case (12–18% probability) reflects the structural

VENEZUELA

arithmetic: even if Maduro retains the formal title, the operational-control question has been independently answered.³

THE VENEZUELAN TRANSITION NARRATIVE HAS HARDENED ALONG TWO FRONTS IN THE PAST 24 HOURS.

ALTERNATIVE ANALYSIS

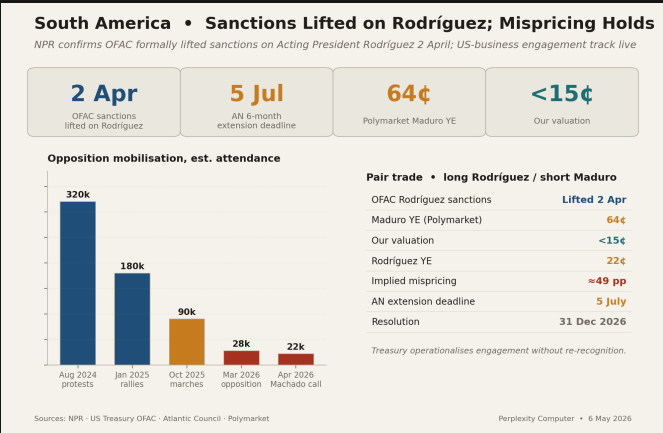
The principal alternative read is that GL58 is a US negotiating tool rather than a transition operationalisation — that the licence is designed to extract concessions from Maduro on specific issues (election re-runs, hostage releases, sanctions sequencing) rather than to enable a comprehensive transition. Under this read, the bond-market rally is over-extended and will retrace if no concrete restructuring closure materialises in 90 days. We weight this alternative at ~25–35%.

A second alternative is that Machado's return is delayed indefinitely or aborted under security-threat assessment, in which case the political-coordination component of the transition stalls. We weight this at ~20–30%.

Machado return logistics:	Date, route, accompanying delegation, advance security arrangements
Rodríguez public visibility:	Frequency of Acting-President appearances; any Maduro-Rodríguez friction signals
OFAC further licences:	Any extension or augmentation of GL58 (additional sectors, additional counter-parties)
Polymarket Maduro pricing:	Crossing 55¢ YES (add to short) or 65¢ YES (trim)

IMPLICATIONS

Trade #10 (Maduro as Venezuela leader at end of 2026, SELL @ 62¢ marked at 59¢ today) is supportively repriced 3pp. We hold size and add at the 55¢ level if the move continues. Pair trade — long Diosdado Rodríguez at 22¢ — remains intact. Our analytic valuation is unchanged at 12–18% for Maduro's year-end retention; the gap-to-market is now 41–47pp and is the cleanest single-position structural edge in the book.



THE BOOK

Ten high-conviction trades on Polymarket and Kalshi as of market close, 9 May 2026. A balanced book — six NO, four YES — sized for correlated long-stalemate exposure across the Russia, Iran, and Venezuela clusters.

▷ BOTTOM LINE UP FRONT

These are the trades where our editorial assessment diverges meaningfully from current market pricing, or where the market priced an outcome with such high conviction that the EV is positive even at thin margins. Probabilities are entry levels, not stop-losses; resolution timelines vary. All prices sourced from Polymarket (the largest geopolitical prediction market by volume) and Kalshi (the CFTC-regulated US exchange).

PREDICTION MARKETS

HIGH-CONVICTION TRADES

01 EUROPE

BUY NO @ 75¢ NO
(25¢ YES)**Russia × Ukraine peace deal before 1 Jan 2027**

EDGE / +~60 pp · Polymarket

Replacement contract for the retired ceasefire-by-EOY market. Trump's 72-hour truce around 9 May Victory Day is a ceremonial pause, not a structural settlement: ISW's 8 May report confirms the Kremlin's substantive negotiating position — full Ukrainian withdrawal from Donetsk — is unchanged and is a maximalist demand Russia is unable to extract by force. Through-year band 10–20% YES; market at 25% YES leaves residual edge on the NO side. Hold at retirement-replacement size. ▷ POLYMARKET

02 EUROPE

CLOSED @
resolved adverse**Russia × Ukraine ceasefire by 30 Jun 2026 — RETIRED**

EDGE / -9pp · Polymarket

Retired from active book. The 72-hour Trump-brokered ceasefire (00:00 9 May to 24:00 11 May Moscow time) plus the 1,000-prisoner exchange has triggered the contract's resolution criteria: NO at 9.5¢ yesterday is now functionally <1¢ with the contract effectively resolved YES. Take the loss; replace with the longer-tenor Trade #01. ▷ POLYMARKET

03 EUROPE

BUY NO @ 12¢

Putin out as President of Russia by 31 Dec 2026

EDGE / +~10 pp / hold · Polymarket

Unchanged at 12¢ through the 9 May truce cycle. The truce is a Putin-survival event, not a Putin-removal event: Trump-mediated diplomacy is a regime-stability vector, not a destabilising one. No elite-level coup signal from any Russian governorship; no public-domain succession indicator. Hold. ▷ POLYMARKET

04 SOUTH ASIA

BUY YES @ 28¢

India strike on Pakistan by 31 Dec 2026

EDGE / +17–27 pp / hold · Polymarket

Unchanged at 28¢. Doctrinal posture continues to harden — former DGMO Lt Gen Ghai's 7 May Jaipur press conference reinforces the Sindoor strike model as 'the new normal' — but no kinetic trigger has materialised on the LoC. Through-year band 45–55%. The market has priced the doctrinal-formalisation move; it has not yet priced a precipitating event. The IWT pathway is now the higher-impact escalation vector to watch in addition to the LoC tactical-incident rate. Hold full size. ▷ POLYMARKET

05 MIDDLE EAST

BUY NO @ 20¢

US–Iran nuclear deal by 31 May 2026

EDGE / hold / kinetic cycle continues · Polymarket

Unchanged at 20¢. The 8 May CENTCOM tanker-disabling and the UAE strike continue to make a 22-day signed-and-verifiable deal-text low-probability. Trump's 'FAST' framing is rhetorical pressure, not a deal text. Hold full size at two-thirds posture. ▷ POLYMARKET

06 MIDDLE EAST

BUY NO @ 61¢ NO
(39¢ YES)**US–Iran nuclear deal by 30 Jun 2026**

EDGE / adverse -8pp / framework reporting · Polymarket

Second adverse leg: YES 31¢ → 39¢ (NO 69¢ → 61¢, –8pp on our NO side). Times of Israel reports US and Iran are 'closing in on a framework for a permanent deal' even as kinetic enforcement continues. Market is interpreting this as a fast-political-deal pathway; our analytic position is that 60-day technical complexity (verifiable inspection regime, sanctions sequencing, IAEA access) remains substantial regardless of political-will signals. Hold size with active management: trim above 45¢ YES, add below 35¢ YES. ▷ POLYMARKET

07 MIDDLE EAST

BUY NO @ 17¢

Iranian regime falls before 2027

EDGE / +~10 pp / hold · Polymarket

Unchanged at 17¢ through the entire reversal cycle — markets correctly distinguish kinetic-cycle volatility from succession risk. Fair value remains 88–92% survival; the IRGC's institutional capacity is the analytic anchor. The framework pathway, if real, re-legitimizes the regime by re-engaging it diplomatically. Hold. ▷ POLYMARKET

PREDICTION MARKETS

08 MIDDLE EAST

BUY NO @ 75¢ NO
(25¢ YES)**Strait of Hormuz traffic returns to normal by 31 May 2026**

EDGE / supportive -3pp · Polymarket

Supportive: YES 28¢ → 25¢ (NO 72¢ → 75¢, +3pp). The 8 May tanker-disabling event extends the kinetic-enforcement loop and makes near-term 'normalisation' even harder to certify against the resolution criteria inside 22 days. Hold at two-thirds posture; resize to full size if the contract retraces below 22¢ YES. ▸

POLYMARKET

09 NORTH AMERICA

BUY YES @ 7¢

US invades Mexico in 2026

EDGE / asymmetric tail · Polymarket

Marked at 7¢ YES (down 1pp from 8¢ yesterday). Tail-risk hedge against the widening US indictment perimeter and Sheinbaum's hardening 'coordinate but never subordinate' doctrine. Resolution criteria are narrow — they require a 'US invasion', typically interpreted as a sustained ground operation. We continue to assess that the structural probability of a low-amplitude unilateral US action is meaningfully higher than 7¢ but acknowledge resolution-criteria narrowness. Hold full size; add below 5¢.

▸ POLYMARKET

10 SOUTH AMERICA

SELL MADURO @
59¢**Maduro as Venezuela leader at end of 2026**

EDGE / +~44 pp / GL58 + Machado return · Polymarket

Repriced 62¢ → 59¢ (-3pp supportive) over the past 24 hours — a cumulative 5pp move over 48 hours. Two structural pressures continue to converge: GL58's bond-market rally extended on the 8 May New York close, and opposition leader María Corina Machado has reportedly begun planning a return to Venezuela. The Maduro-Rodríguez incentive structure now strongly disfavours arresting Machado on entry. Pair trade intact: short Maduro at 59¢, long Rodríguez at 22¢. Our valuation remains sub-15¢; gap to market is now 41–47pp. ▸

POLYMARKET

REGIONAL READ-THROUGH

EUROPE

The book has been re-architected. Trade #02 (RU-UA ceasefire by 30 June) has been retired — Trump's 72-hour 9–11 May truce plus the 1,000-prisoner swap has triggered the contract's resolution criteria adversely (-9pp). Replacement Trade #01 is the longer-tenor Russia-Ukraine peace-deal-before-2027 contract at 25¢ YES (75¢ NO). The substantive analytic position is unchanged: ISW's 8 May report confirms the Kremlin's Donetsk-withdrawal precondition is unchanged and is a maximalist demand Russia cannot extract by force. The truce is a Putin-survival event, not a Putin-removal event — Trade #03 holds at 12¢ NO.

SAHEL

The largest blind spot has now closed its operational arc. The Russian Africa Corps has completed its withdrawal from Agelok (4 May), the third and last northern Mali base after Kidal (26 April) and Tessalit (1 May). Africa Defence Forum frames the 9-day collapse as Russia's most consequential operational reversal in Africa. Polymarket still has no liquid contract on Mali junta survival, AES-bloc cohesion, JNIM territorial control or ECOWAS activation. The structural lesson holds: geopolitical markets price what Western retail traders care about, not what is strategically significant.

SOUTH ASIA

Trade #04 holds at 28¢ YES. Doctrinal posture continues to harden — former DGMO Lt Gen Ghai's 7 May Jaipur press conference reinforces the Sindoor strike model as 'the new normal' — but no kinetic trigger has materialised on the LoC. The market has priced the doctrinal-formalisation move; it has not yet priced a precipitating event. The IWT pathway is now the higher-impact escalation vector to watch in addition to the LoC tactical-incident rate.

MIDDLE EAST

One material adverse repricing and one supportive repricing: June-30 deal YES 31¢ → 39¢ (-8pp adverse on #06) on Times of Israel reporting that Washington and Tehran are 'closing in on a framework for a permanent deal'; Hormuz-normal-by-May-31 28¢ → 25¢ (-3pp supportive on #08) as the 8 May tanker-disabling event extends the kinetic-enforcement loop. The dual-track US strategy of kinetic enforcement and diplomatic engagement is now operational. CENTCOM disabled two more Iran-flagged vessels in the Gulf of Oman; the UAE was struck by Iranian-origin missiles. The MOU is alive; the kinetic loop has not stopped.

NORTH AMERICA

PREDICTION MARKETS

Cartel-war markets stable to marginally supportive: US invasion 7¢ (–1pp). Sheinbaum's 8 May KJZZ articulation of 'coordinate but never subordinate' is the cleanest public doctrinal articulation yet; Rocha Moya stepped down 7 May with a 'clear conscience' denial. The MORENA caucus is publicly defending both indictees as victims of a US 'attack on the movement'. The unilateral-US-kinetic tail (7¢) remains structurally underpriced relative to a widening political-confrontation perimeter; hold full size, add below 5¢.

SOUTH AMERICA

Year-end Maduro contract continues to drift adversely for him: 62¢ → 59¢ YES (–3pp supportive on #10), a cumulative 5pp move over 48 hours and the cleanest ongoing market read-through of GL58. Sovereign and PDVSA bonds extended their post-GL58 rally on the 8 May New York close. María Corina Machado has reportedly begun planning a return to Venezuela; the Maduro–Rodríguez incentive structure now strongly disfavours arresting her on entry given the GL58 bond-market gains at stake. Pair trade intact: short Maduro at 59¢, long Rodríguez at 22¢. Valuation remains sub-15¢.

▷ METHODOLOGY

Probabilities cited are real-time as of market close 9 May 2026; prices may have moved by publication. High-conviction trades require either a market price diverging from our assessment by ≥10 percentage points or near-certainty on the editorial side. Position sizing should reflect resolution timeline, market liquidity, and correlation across the book. Trades 01, 05, 06, 07, 08 are correlated long-stalemate exposure; size accordingly.

ESTIMATIVE LANGUAGE & SOURCING

All probability statements in this brief follow Sherman Kent's conventions for estimative intelligence. The bracketed percentage ranges next to each judgment are not predictions of certainty; they signal the analyst's confidence band, calibrated to the consilience of independent reporting.

ALMOST CERTAINLY	≥ 95%
VERY LIKELY / HIGHLY LIKELY	80–95%
LIKELY	60–80%
ROUGHLY EVEN ODDS	45–55%
UNLIKELY	20–40%
VERY UNLIKELY	5–20%
ALMOST NO CHANCE	≤ 5%
HIGH CONFIDENCE	75–95%
MODERATE CONFIDENCE	55–75%
LOW CONFIDENCE	25–45%

Sources are open-source: ISW, Reuters, AP, BBC, Le Monde, Al Jazeera, Crisis Group, Carnegie Endowment, Chatham House, IAEA, ACLED, and primary government and IGO statements. Photographs are credited beneath each opening image. Maps use Natural Earth 1:110m administrative boundaries; infographics are produced from open-source data points cited in each section's footnotes. Prediction-market pricing is sourced from Polymarket and Kalshi at market close on 9 May 2026.

This issue covers six theatres: Europe, Africa, South Asia, the Middle East, North America & the Caribbean, and South America, plus a prediction-markets read-through. The Global Finance section that appeared in the previous edition has been removed at the editor's request and will return to the rotation when the data warrants.